privately made the same point, and emphasized that recent student protests have only increased pressure to reject any proposed amendments to the law.

Preval Expected to Make the Next Move
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5. (C) According to legislative procedure established by Haiti's constitution, following the submission of a law from Parliament, the President is expected to sign or veto the law within eight working days. This would force Preval to make a move by June 17. Lionel Delatour (protect) a member of the HOPE Tripartite Commission (CTMO-HOPE) told Econ/Poloff June 8 that the President is unlikely to make a formal decision on the law and will continue to request that Parliament engage in dialogue with the sector. (Note: President Preval sent a letter to the presidents of the Senate and Chamber of Deputies May 18 requesting that Parliament consider the impact the higher wage would have on employment and the overall investment climate in Haiti. End note) Preval was expected to depart Haiti June 10 for the 6 PetroCaribe Summit (June 10-11) in St. Kitts, however, Ministry of Foreign Affairs Director of International Organizations Azad Belfort reported to PolOff on June 10 that Preval plans to send the Foreign Affairs Minister in his place.

Industry Study: Wage Increase Will Kill Textile Sector
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6. (U) The Haitian Association of Industry (ADIH) funded a study on the impact of the proposed minimum salary increase on the textile sector. Study author Lhermite Francois interviewed 12 out of 25 factory owners, representatives from the public industrial park (SONAPI), the banking sector and ADIH to discuss the significance of the HTG 200 wage on the sector and its workers,HOPE II opportunities, and the banking sector. Haiti's garment sector employs approximately 27,000 workers. The study found that 53 percent of workers earn an average salary of HTG 154 (from HTG 90-200, USD 2-5, daily). Thirty-eight percent presently receive an average of HTG 218 (almost USD 5.50/day). Overall, the average salary for workers in the sector is HTG 173 (USD 4.33). The study notes that the current salary structure promotes productivity and serves as a competitive wage in the region (Note: The minimum salary for workers in the Free Trade Zone on the Haiti-DR border is